

Corporate Update – Completion of Asset Sale

PITTSBURGH, Pennsylvania – June 30, 2026 – Lipella Pharmaceuticals Inc. ("Lipella" or the "Company") today announced that it has completed the sale of substantially all of its operating assets to XRAIY LLC pursuant to an Asset Purchase Agreement approved by the United States Bankruptcy Court for the Western District of Pennsylvania under Section 363 of the U.S. Bankruptcy Code.

The assets transferred include the Company's pharmaceutical development programs, intellectual property portfolio, regulatory assets, clinical data, manufacturing-related assets, and other operating assets associated with the Company's business.

Lipella was founded in 2005 to develop novel liposomal drug delivery therapies for diseases with significant unmet medical need. During its history, the Company advanced multiple product candidates through preclinical and clinical development, completed an initial public offering in 2022, and conducted clinical studies in oral lichen planus, hemorrhagic cystitis, oral graft-versus-host disease, and non-muscle invasive bladder cancer.

Following the closing of the asset sale, Lipella will continue to administer its remaining affairs in accordance with its Chapter 11 proceedings and applicable orders of the Bankruptcy Court.

Additional information regarding Lipella's Chapter 11 case and public disclosures is available through the Company's SEC filings and the docket of the United States Bankruptcy Court for the Western District of Pennsylvania.

About Lipella Pharmaceuticals Inc.

Lipella Pharmaceuticals Inc. was a clinical-stage biotechnology company headquartered in Pittsburgh, Pennsylvania focused on developing novel therapies through proprietary liposomal drug delivery technology. The Company was founded in 2005 and advanced multiple clinical-stage therapeutic programs targeting diseases with significant unmet medical need.